

Creating a Sales Efficiency Model and Opportunity Index

Utilizing volume and efficiency concepts to accurately understand a retailer's selling ability, and using the same framework to build out an actionable leads list.

THE CHALLENGE

Raw retailer sales numbers on their own don't say much. A location selling \$3,000 a week could be crushing it or badly underperforming, and you can't tell the difference based purely on raw sales figures. Further, benchmarking against "like" retailers by using raw sales figures of peers — both within a classification code and location — may wildly miscalculate a retailer's true selling ability. There exists a need to delve under the hood and understand a retailer's actual sales performance, using metrics that remove the noise and truly portray the underlying ability.

THE APPROACH

The Sales Efficiency Model is based on three main components: volume (foot traffic), transactions per volume, and depth of transaction. We use third-party foot traffic data, combined with individual terminal and machine performance data, to develop a series of metrics that display the retailer's actual selling ability.

- The metrics rely on peer-group averages and z-scores and are completely transparent (as opposed to being built using a black-box model).
- The model provides expected sales calculations, which are then compared to actual figures, to determine if a retailer is over/under performing against its peers.
- The same calculations are then applied to the non-Lottery businesses within the foot traffic data set to provide an opportunities list. These leads come complete with projected sales totals based on foot traffic and peer-level sales metrics, so they are more based on reality than using raw sales averages.

THE RESULT

20,133

Retail locations scored against real, peer-adjusted expectations

\$2.1B

In expected annual sales identified across prospective (non-lottery) locations statewide

64%

Of existing retailers trailing their peer-adjusted expectation by 10%+, flagged for account review

By utilizing the Sales Efficiency Model to review retailers, an analyst can review overperforming retailers as study opportunities to understand sales tactics that can be applied to a retailer's peer base. Underperforming retailers provide the biggest area of sales growth — bring these retailers up to baseline, and overall sales experiences a tremendous boost.

WHY IT MATTERS

This approach provides insight into a retailer's actual selling ability using metrics that dive under the hood. It finds the true selling gems that are hiding in the data, while uncovering real opportunities for growth that are masked by high raw sales figures. Horizontal sales — sales that come from expanding to new retailers — is a slower driver as lotteries mature. Most businesses that can sell lottery already do. Real growth comes from vertical sales — maximizing sales at each lottery location. Concepts like volume and efficiency help propel this forward by providing a true gauge of retailer performance. These concepts are then applied to non-lottery retailers to provide accurate projections and to help uncover the most lucrative opportunities.